

March 5, 2025

**From: Council on Competitiveness
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On behalf of the Council on Competitiveness, and its National Commission on Innovation and Competitiveness Frontiers, thank you for the opportunity to provide our views on development of the Administration's new Artificial Intelligence Action Plan in response to President Trump's January 23 Executive Order.

The Council is a non-partisan leadership coalition of CEOs, university presidents, labor leaders, and national laboratory directors who promote national policies to spur U.S. productivity growth, extend U.S. global technology leadership, increase prosperity for Americans, and help drive the global success of American businesses.

The National Commission is a Council initiative bringing together national leaders from business, academia, and national laboratories to explore important domestic and global competitiveness issues of the day, to consider challenges emerging on the horizon, and to identify new pathways to greater U.S. productivity, prosperity, and economic and national security. The National Commission is co-chaired by Brian Moynihan, Chair, Bank of America; Dan Helfrich, Chair and CEO emeritus, Deloitte Consulting LLP; Joan Gabel, Chancellor, University of Pittsburgh; Kenneth Cooper, International President, International Brotherhood of Electrical Workers; Thom Mason, Director, Los Alamos National Laboratory; and me.

National Commission Recommendation on Artificial Intelligence

In December 2024, the National Commission released a Call to Action that includes an urgent and high priority recommendation on artificial intelligence, in light of the technology's potential for large scale disruption and widespread transformation.

The potential for large-scale AI-driven disruption and transformation. The Age of AI has suddenly arrived, with hallmarks of a major discontinuity. Generative AI is scaling faster than any technology in history. It took less than two years from the public release of ChatGPT for generative AI to reach search engines, laptops and desktops, and smart phones used by billions of people worldwide. It is already penetrating business processes, office work, and the classroom.

Artificial intelligence is expected to lead to a massive global transformation of the economy, society, human activity, and national security. AI is revolutionizing the scientific process and could propel innovation to dramatically higher levels. It is expected to drive significant productivity gains.

AI could disrupt labor at every level of the economy—task, job, organizational, industry, occupational, and labor market—and will have an impact on employment and occupations historically unaffected much by automation such as doctors and financial advisors. An International Monetary Fund analysis estimates that AI will affect almost 40 percent of jobs globally. In the advanced economies, due to their more cognitively-intensive employment structure, about 60 percent of jobs may face an impact.ⁱ

AI is going to have game-changing impact on national security, and it is being applied across the defense enterprise—in intelligence, surveillance, and reconnaissance; logistics and maintenance; command and control; weapons and vehicles. It promises to alter military capabilities and the character of war. As AI converges with autonomous systems, including machine-to-machine applications, there will be new approaches to defense.

Signs the economy is beginning to realign around AI. The restructuring of an economy around powerful technologies is inherently disruptive, both creating and destroying businesses, markets, and jobs. In the process, there are new market opportunities and new business formation, supply chains realign, labor markets shift, there is need for new skills, and investment capital flows in new directions.

Over the past 20-30 years as the digital revolution unfolded, entire industries were disrupted, start-ups proliferated, new corporate giants took their places in the Fortune top 10, the way products are made and services provided changed dramatically, workers had to acquire new skills, communications and how people interact changed, there has been new global and domestic regulation, and more. The AI revolution promises even more profound change, and on a much shorter time-scale.

We are already beginning to see signs of possible restructuring. For example:

- Massive amounts of capital are flowing into AI. Meta, Alphabet, Amazon, and Microsoft plan to spend \$320 billion combined in AI and data centers in 2025, up from \$246 billion in 2024.ⁱⁱ One third of venture capital invested globally in 2024 went to AI start-ups, a total of \$131 billion, an increase or more than 50 percent over 2023.ⁱⁱⁱ
- New business applications filed with the IRS by start-ups that aim to develop AI technologies or produce goods or services that use, integrate, or rely on AI took a very sharp upward turn beginning in 2022.^{iv}
- A U.S. AI-related company (NVIDIA) has joined the trillion dollar market cap club.
- To meet the escalating need for electricity to power AI data centers, the U.S. AI leaders signed new agreements to access nuclear energy, with the potential to disrupt the nuclear industry and drive deployment of “new” nuclear.

- AI text-to-image and text-to-video is shaking up the creative industries and democratizing the tools for creative works. These AI tools have raised concerns about intellectual property rights policies.

There is great uncertainty about the future impact of AI on the economy, national security, industry sectors, education, society, the workforce, discovery, and other technology advancements. There are also profound questions that policymakers will face, and businesses, the workforce, and the citizenry will look to national policymakers and experts for answers and action.

RECOMMENDATION: Congress should establish and fully fund a bi-partisan National Commission on Artificial Intelligence. The Commission should form a multidisciplinary team—scientists and engineers from different fields, AI/ML experts, futurists, macroeconomists, educators, sociologists, industry specialists, military strategists, foreign affairs experts, financial experts, and others—to develop several future scenarios on AI’s potential impacts, similar to the world energy system scenarios produced annually by the International Energy Agency or the Global Trends scenarios produced every four years by the National Intelligence Community’s Strategic Futures Group.

Each scenario would be based on a variable set of assumptions about speed of AI/ML advancement; speed and level of penetration in the economy, society, industry, workplace, and military; level of regulation; strategic competitor actions; etc. Using modeling and simulation, plausible scenarios for different timeframes would be developed showing possible impacts on the macro-economy and productivity, risk or advantage in military capabilities, changes to the labor market, workforce knowledge and skill needs, level and speed of discovery and technological advancement in different fields and in convergence of AI with other enabling technologies, societal impacts, etc. These scenarios would provide an analytical framework for leaders and policymakers in a range of domains as they work to develop strategies and policies for an uncertain future and help them see a range of possibilities.

The Commission would also convene a multidisciplinary group to explore and gather insights on some of the big questions posed by rapid advancement of AI/ML such as: the potential need for policies or programs to respond to the fall-out from major AI disruptions; the impact of potentially large productivity dividends; changes in what humans need to learn or know; what the impact might be of higher levels of new discoveries and technological innovation on accelerating time frames; and how work will evolve around new kinds of human-machine collaboration.

ⁱ Gen-AI: Artificial Intelligence and the Future of Work, International Monetary Fund, January 2024.

ⁱⁱ Big Tech Lines Up over \$300 Billion in AI Spending for 2025, Financial Times, February 7, 2025.

ⁱⁱⁱ AI Start-ups Grabbed a Third of Global VC Dollars in 2024, Pitchbook News and Analysis, January 9, 2025.

^{iv} Starting Up AI, E. Dinlersoz, et.al., Center for Economic Studies, Census Bureau, August 2024.